Fiem Industries: interview Q&A cheat-sheet

Data as of 19 Oct 2026 close (CMP Rs 1,824). Sab estimates "our estimate" hain. Source: Fiem full report 20 Oct 2026.

1. Fiem kya karti hai, aur paisa kaise kamati hai?

Fiem two-wheeler ke headlamp, tail-lamp, indicator aur mirror banati hai aur seedha vehicle makers (TVS, Honda, Yamaha, Hero, Royal Enfield, EV makers) ko bechti hai. Lagbhag 94% sales OEM ko jaati hai. Naye model ke liye wo design jeetti hai, mould banati hai, aur model ki life tak supply karti hai. FY26 standalone sales Rs 2,791 crore; lighting about 75% of sales.

2. Tumhari call kya hai?

ACCUMULATE, 12-month target Rs 2,100 (our estimate) vs CMP Rs 1,824, yaani +15%. Moderate conviction, scorecard 75/100.

3. Target kaise nikala?

50:50 blend. (a) 15-year FCFF DCF, discount rate 12.61% (Rf 5.53%, ERP 7.08%, beta 1.0, debt nahi to WACC = cost of equity), terminal growth 5%. DCF aaj ka value Rs 1,757, 12-month value Rs 1,939. (b) P/E leg: 18x FY28E EPS Rs 125.5 = Rs 2,260. Blend = Rs 2,099, rounded Rs 2,100.

4. Yeh assumptions kyun?

Growth FY27E 16.5%, margin 13.8% to 14%: management guidance 15-20% growth aur ~14% margin hai, aur Street consensus (FY27E sales Rs 3,289 cr, EBITDA Rs 455 cr) hamare estimate (Rs 3,280 cr, Rs 453 cr) ke lagbhag barabar hai. 18x P/E current 18.3x ke aas-paas hai, yaani re-rating assume nahi ki.

5. Tumhare model ki sabse badi kamzori kya hai?

DCF akela market price ke kareeb hai (Rs 1,939 vs 1,824). Upside ka bada hissa P/E leg se aata hai. Isliye Buy nahi, Accumulate. Beta ko 1.0 liya (5-year beta 0.49 kam lagta hai; Trendlyne 1.0-1.3 dikhata hai).

6. Scenarios kya hain?

Bear Rs 1,581 (-13%), Base Rs 2,099 (+15%), Bull Rs 2,480 (+36%); probability 25/50/25 (our judgement); weighted Rs 2,065.

7. Top 3 risks?

(a) Customer concentration: TVS 33.7%, Honda 25.2%, Yamaha 13.7% = ~72% of automotive sales. (b) Promoter selling: 66.6% se 54.5%, aur CEO ne May 2026 me chhoda. (c) Receivables: debtor days 37 se 50; management ke hisaab se bill discounting band hui, terms same. Aur imports ~Rs 498 cr/year (17-18% of sales) ka currency risk.

8. Quality ke saboot kya hain?

ROCE 29.4%, ROE 22.7% (FY26), koi financial debt nahi, cash ~Rs 280 cr, dividend Rs 20 se Rs 30 se Rs 40 per share (FY24-FY26). Sales 5-year CAGR 18%; lighting segment 21% CAGR.

9. Street se alag kyun?

Street (3 analysts) average target Rs 2,835. Hamara Rs 2,100 conservative hai kyunki hum 12.6% discount rate aur 18x P/E use karte hain. Forecast nahi, valuation ka fark hai.

10. Peers se sasta kyun? Kya yeh opportunity hai?

Trendlyne: Fiem P/E 18.3x vs peers 34-71x, par peers bahut bade aur diversified hain (market cap Rs 42,000+ crore vs Fiem ~Rs 4,800 crore). Fiem sirf 2W par nirbhar hai aur customers concentrated hain. Hamare hisaab se discount ka kuch hissa jayaz hai, kuch nahi (ROCE ke hisaab se).

11. 4W (four-wheeler) story kitni pakki hai?

Abhi sirf ~2.5% of revenue. FY27 ka guide Rs 100-150 cr 'slightly lower' kar diya gaya, ramp ~2 quarters pichhe. Isliye hum 4W ko valuation me credit nahi dete, ye upside option hai.

12. Fire ka kya hua?

Rai (Jun 2023): 3 din me operations shuru, Rs 50 cr insurance mili. Tapukara (Aug 2025): claim Rs 82.3 cr, books me ~Rs 49 cr receivable. Insured hai, impact chhota.

13. Is report me kya missing hai?

Audited notes (KAMs, CARO, contingent liabilities) us annual-report text me nahi mile, isliye Appendix B me 'Not available / unverified' likha. Nifty ke saath alpha/correlation nahi nikala.

14. Portfolio me kitna hai?

1000 shares ka virtual buy 20 Oct 2026 ko 09:40 IST ke price par. Ye ~Rs 18 lakh (~18% of Rs 1 crore) hoga, report ke 2-3% illustrative sizing se bada hai. Ye concentration decision hai.

15. Yeh investment advice hai?

Nahi. Virtual portfolio, educational project. Main SEBI-registered analyst nahi hoon.